

TORMEY et al v. JENNINGS et al

22CV46038

PLAINTIFFS' MOTIONS re (1) DEMURRER TO ANSWER, (2) STRIKE ANSWER and (3) PRELIMINARY INJUNCTION

This is a quiet title action involving an easement for ingress and egress between adjoining parcels APN 012-004-005 and APN 012-004-019, which plaintiffs describe as an easement of necessity given the remoteness of the cabin thereon and the loss of an access bridge previously available to plaintiffs. Before the Court is plaintiffs' demurrer to the operative answer, a motion to strike the operative answer, and an application for a preliminary injunction to bar defendants from "blocking" plaintiffs' use of the disputed easement (and to affirmatively remove barriers to that access.)

Pertinent Background

In June of 1965, Charles and Cleo Stoddard split a parcel they owned by deeding parts of it away as follows:

- Parcel 1: to Jim and Dorryl Stoddard (grantors' son and daughter-in-law), the northwest quarter of the northeast quarter of Section 17, Township 6 North, Range 13 East, along with "an easement for ingress and egress over the existing road" in the northwest quarter of the northeast quarter of Section 17, T6N, R13E. This parcel contains 1.55 acres and is almost a perfect rectangle. This parcel does not appear to have a legal street address, instead commonly being referred to as 00 Woodhouse Mine Road. The APN for this property is 012-004-005.
- Parcel 2: to George and Margaret Moreira, the northwest quarter of the northeast quarter of Section 17, Township 6 North, Range 13 East, along with "an easement for ingress and egress over existing road across the remaining lands of the grantors" in the northeast quarter Section 17, T6N, R13E. This 2.19 acre parcel is rectangular with a legal street address of 2491 Woodhouse Mine Road. The APN for this property is 012-004-004.

Parcel 1 and Parcel 2 both are landlocked. The parties do not state clearly what other parcels Charles and Cleo owned in 1965 when they carved out Parcel 1 and Parcel 2, making it difficult to determine with precision what "existing road" the grantors were intending to create an easement upon. However, it does appear that Charles and Cleo owned most of the northeast quarter of Section 17 (see deed from Woodhouse Mining Company to Charles and Cleo covering 19 acres), including APN 012-004-019 (an 8.61-acre parcel bearing a legal street address of 2499 Woodhouse Mine Road, hereinafter "Parcel 3").

In or about 1970, Jim and Dorryl Stoddard built a cabin on Parcel 1. Although the closest roadway to Parcel 1 is Quail Lane (directly to the east, cutting across APN 012-004-007), Dorryl advises that they always used a dirt path going south from Parcel 1 into Parcel 3, backtracking over a bridge (she does not state which bridge), and then down a dirt road the neighbors call Jim's Tree Road, which thereafter connects via a formal easement between APN 012-004-018 and APN 012-004-020 to Woodhouse Mine Road. A 1976 survey authorized by Cleo as part of the county's new parcel map suggests that the "easement" referenced in the 1965 deeds might run due south between Parcels 1 and 2, down the western edge of Parcel 3, and running right between APN 012-004-018 and APN 012-004-020 to Woodhouse Mine Road. If this interpretation is correct, it would include the bigger bridge, although there is no reference to a bridge in the easement. On the other hand, it is possible that the "existing roadway" referred to in the 1965 deed for Parcel 1 was in fact the dirt road to the east of the cabin which cuts directly through the center of Parcel 3 (which might explain the different verbiage used by the grantors in the 1965 deeds). Defendants concede that the deed for Parcel 3 contains some verbiage regarding an easement favoring Parcels 1 and 2; however, neither side has provided this Court with a copy of the Parcel 3 deed, which is indispensable at this juncture.

In 2019, the "bigger" bridge connecting the linear easement was damaged beyond repair. The interested parties (Dorryl with Parcel 1, Gloria with Parcel 2, and defendants with Parcel 3) discussed various options for *repairing* the bridge, but in the interim defendants granted Gloria and Dorryl permission to cut onto Parcel 3 and use the smaller bridge to gain access to Jim's Tree Road. It was a small detour, but a very necessary one for anyone accessing Parcels 1 or 2. Defendants describe this as temporary permission based on a long-standing friendship with these neighbors. Plaintiffs contend that the damaged bridge is not the "only" part of the "easement" because it is actually on Parcel 2, and Dorryl was free to use the connector to either the damaged bridge or the smaller bridge. Neither of the 1965 deeds described any easement requiring use of a bridge, only a roadway, which further begs the question where to site the easement.

In mid-2021, Dorryl decided it was time to sell Parcel 1. Defendants were giving "first crack" at buying the parcel (defendant had just purchased Parcel 2 from Gloria), but were unwilling to pay what Dorryl opined as the fair market value. Since the "easement bridge" was out of commission at the time, and the only access to Parcel 2 was the "smaller bridge" sitting behind a lockable gate, making arriving at a FMV for this deeply landlocked parcel a bit of guesswork.

On or about 12/16/21, plaintiffs Peter Tormey and Michael Kasin – along with nonparties Catherine Tormey and Patricia Kasin – entered into a Residential Purchase Agreement with Dorryl to acquire Parcel 1 for \$144,000 despite being "aware of current access dispute with neighbor." (See Addendum 1.)

At present, Parcel 2 and Parcel 3 are owned by defendants (in addition to other parcels to the north). Defendants do not believe the deeded easement for Parcel 1 covers the “southern bridge” at all, and that the only legal access to Parcel 2 is via an undescribed route to the now-damaged bridge. Defendants explain that part of the problem is security and safety from others (not plaintiffs), requiring defendants to keep the gate on the path to the “southern bridge” locked (passable with an access code). Plaintiffs contend that defendants’ decision to block access to the only useable bridge is one made from spite when they failed to buy Parcel 1. Given the dynamics and history, there may be something to this concern.

Defendants’ Answer

Plaintiffs have demurred to defendants’ answer to the complaint, filed 01/05/23, and filed a motion to strike – both of which are based on the same arguments; those arguments fail.

The document filed by defendants on 01/05/23 is admittedly not the traditional “answer” one might expect were defendants represented by counsel. However, so long as the document filed is signed by both defendants, and includes at least a denial of all or some of the material allegations in the complaint, the document is sufficient. (See CCP §431.30(b); *Mechling v. Asbestos Defendants* (2018) 29 Cal.App.5th 1241, 1248.) So long as the document provides sufficient notice of a refusal to concede, the precise form it takes is not dispositive. (See, e.g., CCP §187 [“any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this code”]; Civil Code §3528 [“the law respects form less than substance”]; in accord, *Brown v. Wells Fargo Bank, NA* (2012) 204 Cal.App.4th 1353, 1356 [it is the substance, rather than the label, which controls]; *Dieckmann v. Superior Court* (1985) 175 Cal.App.3d 345, 359 [“rules of pleading are conveniences to promote justice and not to impede or warp it”]; *Vallera v. Vallera* (1944) 64 Cal.App.2d 266, 272 [“form is subordinated to substance in pleading and practice in civil cases”].) The document herein contains a rather explicit denial of all allegations in the Complaint (see page 3), and provides a factual predicate for those denials. Although the document should not be treated as raising new matters via affirmative defenses, it does not appear to this Court that defendants are seeking to raise new matter affirmative defenses in any event. (See CCP §431.30; *Advantac Group, Inc. v. Edwin’s Plumbing Co., Inc.* (2007) 153 Cal.App.4th 621, 627; *Hata v. Los Angeles County Harbor/UCLA Medical Center* (1995) 31 Cal.App.4th 1791, 1805.) The **demurrer** to the document, based on a failure to state (CCP §430.20), is **OVERRULED**. All of the material allegations have been sufficiently denied. (See CCP §§ 431.10, 431.20.)

As for the motion to strike, plaintiffs are correct that an answer must conform to the rules applicable to pleadings generally (ie, CRC 2.100-2.119), and that the document filed does not comport with quite a few of those rules. However, taking the step of striking a pleading simply because it is not drawn in conformity with formatting rules can be an abuse of discretion. Besides, while the court clerk is free to reject a paper for

filing because of formatting issues (see CRC 2.118(a)), the trial court is equally entitled to permit non-conforming papers for good cause (see CRCX 2.118(c)). Since defendants took the extra step of setting aside a previous default, and have filed a “response” to the application for preliminary injunction, there is sufficient good cause to allow the imperfect “Answer” to remain – otherwise, the order striking would only give defendants additional time to refile. The **motion to strike is DENIED**.

Injunctive Relief

A preliminary injunction is an equitable remedy designed to preserve the existing status quo until the dispute between the parties can be resolved on the merits. The status quo is defined as to the last actual peaceable, uncontested status which preceded the pending controversy. (*Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1052; *People v. iMERGENT, Inc.* (2009) 170 Cal.App.4th 333, 343.) Preliminary injunctions are generally available to avoid waste (CCP §526(a)(2)), to keep a party from violating the rights of another (CCP §526(a)(3)), and whenever sufficient grounds exist pursuant to caselaw (CCP §527(a)), such as when the applicant has demonstrated a likelihood of prevailing on the merits and yet is likely to suffer in the interim irreparable harm which cannot be adequately addressed with money. Courts refer to this as a sliding scale of considerations – how likely the party is to win versus how much harm it will suffer awaiting its day in court. (See *White v. Davis* (2003) 30 Cal.4th 528, 554; *Butt v. State of California* (1992) 4 Cal.4th 668, 677-678; *Stevenson v. City of Sacramento* (2020) 55 Cal.App.5th 545, 551; *Amgen Inc. v. Health Care Services* (2020) 47 Cal.App.5th 716, 731; *Jamison v. Department of Transp.* (2016) 4 Cal.App.5th 356, 361.) Plaintiff is seeking an injunction based upon the sliding scale of considerations (§527(a)).

The operative pleading herein is the Verified Complaint filed on 05/24/22. It contains causes of action for: (1) quiet title; (2) prescriptive easement; (3) tortious interference with contractual relations; (4) intentional interference with economic advantage; (5) unfair competition; and (6) declaratory relief.

In order to state a viable cause of action for quiet title, a complaint must be verified and include: (a) a description of the property that is the subject of the action; (b) the title of the plaintiff as to which a determination under this chapter is sought and the basis of the title; (c) the adverse claims to the title of the plaintiff against which a determination is sought; (d) the date as of which the determination is sought; and (e) a prayer for the determination of the title of the plaintiff against the adverse claims. (CCP §761.020.) As noted, this Court cannot tell from the papers filed where the express easement lies, if anywhere. This cause of action is, at present, a coin toss. This Court is also struggling to see from the paperwork the access to either bridge and the photos aid very little.

Plaintiffs’ claim for prescriptive easement does not fare much better. A prescriptive easement gives a right, less than ownership, to a specific use or activity on the property of another. (*Darr v. Lone Star Industries* (1979) 94 Cal.App.3d 895, 901.) To establish the elements of a prescriptive easement, plaintiffs must establish by clear and

convincing evidence that they have made specific and definable use of some portion of defendant's property (see CRC 3.1151) for at least five years which was (1) open and notorious; (2) continuous and uninterrupted; (3) hostile to the landowner; and (4) under claim of right. (*Husain v. California Pacific Bank* (2021) 61 Cal.App.5th 717, 725-726; *Hansen v. Sandridge Partners, L.P.* (2018) 22 Cal.App.5th 1020, 1032.) The concept of hostility is synonymous with adversity, and is loosely defined as use without any express or implied recognition of the owner's property rights, or in defiance of the owner's property rights. Stated another way, whether the use is hostile or is merely a matter of neighborly accommodation is a question of fact to be determined in light of the surrounding circumstances and the relationship between the parties. (*Husain* at 726; *McBride* at 1181; *Aaron v. Dunham* (2006) 137 Cal.App.4th 1244, 1252 [adverse use means that the claimant's use was made without the explicit or implicit permission of the landowner.]) Here, the evidence is that any use Dorryl made of the "other" bridge was with the consent of defendants.

Plaintiffs have not demonstrated a probability of success on their third cause of action for interference with contract. To prevail on this kind of claim, plaintiffs must present some evidence in support of the following essential elements: (1) a valid, and enforceable, contract between plaintiff and some third party; (2) defendants' actual knowledge of the contract and its material terms; (3) defendants' intentional acts designed to induce a breach or disruption of that relationship; (4) actual breach or disruption; and (5) economic harm proximately caused thereby. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 55; *Popescu v. Apple Inc.* (2016) 1 Cal.App.5th 39, 51; *Sole Energy Co. v. Petrominerals Corp.* (2005) 128 Cal.App.4th 212, 238.) In addition, when the third-party is free to cancel the contract at will, the plaintiff must also present evidence to show that defendants' conduct was in some way independently wrongful. (See *Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1152; *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1003-1105.) Since plaintiffs did in fact acquire Parcel 1, and did so (as they claim) at a discount, this cause of action fails on its face.

Plaintiffs have not demonstrated a probability of success on their fourth cause of action for intentional interference with economic advantage. In order to adequately state this cause of action, plaintiffs must present evidence showing (1) an economic relationship between the plaintiff and some third party, with a reasonable probability of future economic benefit or advantage to the plaintiff; (2) defendant's actual knowledge of that relationship; (3) defendant's intentional and independently wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused thereby. (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512; *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1005.) Although plaintiffs claim that they "could have" rented the property if they had had access to it in time to do all the heavy lifting required to make it habitable, plaintiffs concede they were well-aware of the easement/access issues before getting into escrow, and could have easily avoided all this by finding another property for

investment. There is also no evidence showing that the property can be rented at this time but for the easement/access issue.

Plaintiffs have not demonstrated a probability of success on their fifth cause of action for unfair practices. California's Unfair Competition Act statute (B&P Code §17200 et seq) prohibits any unlawful, unfair or fraudulent business act or practice. Plaintiff do not allege that defendants' use of a locked gate on their own property is unlawful or fraudulent, which leaves only the fairness prong. Although courts still struggle with whether the fairness prong must be viewed from the perspective of a consumer, the fact remains that defendants have asserted easement and access concerns long before plaintiffs decided to buy the property, and to the extent defendant may be right, they are entitled to protect their own property.

As for the sixth cause of action for declaratory relief, this is where the scales tip toward plaintiffs. Pursuant to CCP §1060, "any person interested under a written instrument or who desires a declaration of his or her rights or duties in respect to, in, over or upon property," may seek a judicial declaration of those rights. Although this cause of action is ordinarily subsumed by other direct claims (such as quiet title and prescriptive easement), this Court could entertain a declaration regarding a theory plaintiffs neglected to raise, to wit: an easement by necessity. As explained by our Supreme Court in *Murphy v. Burch* (2009) 46 Cal.4th 157 (at 162-164):

"An easement by necessity arises from an implied grant or implied reservation in certain circumstances when a property owner (the grantor) conveys to another (the grantee) one out of two or more adjoining parcels of the grantor's property. When there is no express provision for access, and the parcel conveyed is either landlocked entirely by the parcels retained by the grantor or landlocked partly by the grantor's retained land and partly by the land of others, the grantee may claim an implied grant of a right-of-way of necessity over the land retained by the grantor ... Easements by necessity originated in the common law and are the result of the application of the presumption that whenever a party conveys property, he conveys whatever is necessary for the beneficial use of that property and retains whatever is necessary for the beneficial use of land he still possesses. The rationale driving this presumption is that the demands of our society prevent any man-made efforts to hold land in perpetual idleness as would result if it were cut off from all access by being completely surrounded by lands privately owned. Hence, easements by necessity are grounded in the public policy that property should not be rendered unfit for occupancy or successful cultivation because access to the property is lacking.

"In California, the easement arises by implication based on the inferred intent of the parties to the property conveyance, as determined from the terms of the relevant instrument and the circumstances surrounding the transaction. Two circumstances are indispensable to the implication and must be shown: (1) a strict necessity for the claimed right-of-way, as when the claimant's property is

landlocked; and (2) the dominant and servient tenements were under common ownership at the time of the conveyance giving rise to the necessity. To satisfy the strict-necessity requirement, the party claiming the easement must demonstrate it is strictly necessary for access to the alleged dominant tenement. No easement will be implied where there is another possible means of access, even if that access is shown to be inconvenient, difficult, or costly. Moreover, such an easement continues only as long as the need for it exists. Thus, if adequate alternative access becomes available, the easement terminates because it no longer serves to promote the underlying public policy considerations. To meet the common-ownership requirement, the party seeking the easement must establish that the lands composing the alleged dominant and servient estates were once under common ownership and that a conveyance by the common owner gave rise to the necessity for a right-of-way.”

Since defendants appear to concede that they have blocked the only access to Parcel 1, and both sides appear to concede that the Parcel 1 and Parcel were under common ownership, deeded to others with an intention of creating access by easement, it appears to this Court that a declaration of rights could be made on this basis. (See *Maleti v. Wickers* (2022) 82 Cal.App.5th 181, 214; *McBride v. Smith* (2018) 18 Cal.App.5th 1160, 1169.)

Plaintiffs are entitled to the gate code. **A preliminary injunction shall issue** to maintain the status quo, which this Court concludes is access to the property through the gate. Plaintiffs can open the gate, and then close it behind them every time. In terms of how to access Parcel 1 using a rickety bridge, that will have to be plaintiffs’ concern. Given the obvious risk of damage to the bridge, and defendants’ concerns about damage to the property and occupants if the gate is left open, plaintiffs shall be required to post a bond (CCP §529) in the amount of \$25,000 prior to receiving the gate code. (See *Stevenson v. City of Sacramento* (2020) 55 Cal.App.5th 545, 555; *Top Cat Productions, Inc. v. Michael's Los Feliz* (2002) 102 Cal.App.4th 474, 478; *ABBA Rubber Co. v. Seaquist* (1991) 235 Cal.App.3d 1, 10.)

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiffs are ordered to serve and file a proposed order consistent with CRC 3.1150 and this Ruling.

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK

17CV42103 (Related to 20CV44819)

DEFENDANTS' MOTION FOR SUMMARY ADJUDICATION

This is a construction defect case. Before the Court is a defense motion for summary adjudication. Defendants generally contend that plaintiff's claims are time-barred. Despite the mountain of papers filed, the issues herein are fairly basic.

Pertinent Background

In or about 1986, the Board of Supervisors approved a tentative map for the development of a 385-home master-planned gated residential community off Highway 26 in Valley Springs, CA. Phase 1 was to include 130 homes along Cosgrove Creek, as well as the common area with a clubhouse, tennis courts and a swimming pool. Phase 2 was to include 82 additional homes. Phase 3 was to include another 171 homes. Eventually Phases 1 and 2 were combined into a single Phase, but with designations Unit 1 and Unit 2.

In 1997, Ryan Voorhees incorporated CRV Enterprises (hereinafter "CRV") for the stated purpose of engaging in real estate development (see Statement of Information). Ryan was identified in later filings as the President, CEO, CFO and agent for service of process.

In 2002, CRV acquired the rights to develop the aforementioned residential project.

In 2003, Ryan Voorhees incorporated Valley Springs Gold Creek, Inc. (hereinafter "VSGC"), for the stated purpose of home building (see Statement of Information). Ryan was identified in later filings as the President, CEO, CFO and agent for service of process.

On 04/15/03, CRV transferred via grant deed its rights and title in the project to Ryan Voorhees individually, who then transferred everything to VSGC.

In 2004, Ryan Voorhees incorporated Gold Creek Estates Owners Association for the purpose of managing a common interest development. Later that same year he incorporated Old Golden Oaks, LLC, for the purpose of real estate development. Ryan is listed as the sole member of the LLC (which eventually came to develop Phase 3 of the development).

On 02/17/06, Ryan – on behalf of VSGC – caused to be recorded a Notice of Completion.